TWENTY

SELLING MYSELF SHORT

THERE WAS ANOTHER STRATEGY I WAS DETERMINED TO investigate: selling short. Selling short was one of those investment terms I pretended to understand without having the slightest idea what it meant. For more than twenty years I'd nodded my head knowingly at any mention of it, and no doubt I wasn't alone in this. Maybe people who actually sold short didn't realize what they'd done.

I admitted this ignorance to Mr. Gressel the night we listened to left-wing Chilean music on his stereo. He explained that selling short was selling somebody else's property and hoping to profit from it. At first that sounded criminal, and I couldn't see the difference between selling a stock short and selling the Brooklyn Bridge. Mr. Gressel quickly corrected my misconceptions.

According to Mr. Gressel, shorting works as follows. You call up your broker and announce you expect a certain stock, IBM, for instance, to go down. The broker suggests you short the IBM. If you short 1,000 shares of it, with the stock selling at $160, then the proceeds of $160,000 are immediately added to your account. If you did this a couple of times, I figured, you could become a millionaire very quickly. What better way to get rich overnight than to short everything in sight and wake up to a giant windfall from selling a lot of the stocks you never bought in the first place?

Unfortunately, selling short was not quite as perfect as it sounded. It turned out that you'd only borrowed the 1,000 shares of IBM. In fact, your stockbroker had asked around and found an IBM shareholder willing to loan you the shares so you could short them. (Any person who shorts stock must allow other people to short his.)